The Papers on the Table

Student copy (project or hand out)

1 Andrew Yates resigned on May 29, 2026, with immediate effect, and Julian McPherson, who ran audit and assurance for KPMG Australia, walked out the same day. Behind those two departures sits a figure the firm cannot resign away: more than $270 million in federal contracts the Australian government has placed under review. Chairman Martin Sheppard accepted both resignations. The number stays.

2 Picture the room the whistleblower described. Lendlease board papers, confidential, the property of one client, are displayed to KPMG's audit team while the firm is chasing a major audit contract with Westpac. The papers were Lendlease's. The pitch was for Westpac. The team had both in front of it. KPMG admitted on May 14 that an audit partner had improperly accessed those documents. An audit firm exists to certify that the numbers a company shows the public are true; here the firm could not keep one client's secrets out of its bid to a second.

3 The breach did not stop at Lendlease. The whistleblower alleged that board papers from Dexus and inside information from Macquarie were worked into other tender pursuits, and named two partners, Paul Rogers and Eileen Hoggett, as the leads on the Lendlease account. Senator Deborah O'Neill stood in the Senate on March 24 and laid the allegations out under parliamentary privilege, in the one place a person can name names and not be sued for it. Yates had been chief executive since July 2021, his term reconfirmed by the board in 2024 after an outside review found nothing to fear. The board looked, and missed it.

4 Then the firm investigated itself. The law firm Allens, brought in from outside, found that KPMG's own prior inquiries had "fallen short of the rigour required" to assess what the whistleblower was saying. Read plainly, the people charged with checking the work had not checked it. ASIC opened a formal investigation on June 5, and the government pulled its contracts back for review, and Hoggett gave up the chief operating officer title on June 3 but kept her seat as an audit partner. Stan Stavros holds the chief executive chair now, on an interim basis.

5 The firm was hired to verify trust; the firm was caught betraying it. That is not a story about two careers. The public money under review is your money, routed through a firm the state hired precisely because it was supposed to be the one that does not cut the corner. When the watchdog has to be watched, the duty does not fall back on the regulator alone. It falls on everyone who still has to decide whether the next signed audit means anything at all.

AP-style multiple choice:

1. In the fourth paragraph, the writer presents KPMG's own outside review by the law firm Allens primarily to

A) credit the Senate disclosure with prompting the firm to reexamine the case
B) concede that KPMG had acted responsibly by investigating the allegations itself
C) expose that the firm's earlier inquiries had failed, turning its own finding against it
D) establish a neutral chronology of the regulatory steps that followed the resignations

2. Which best characterizes the writer's tone in the final paragraph?

A) measured but accusatory, pressing a shared obligation without resorting to name-calling
B) detached and clinical, reporting the regulatory steps without taking a position
C) resigned and weary, treating the betrayal as an inevitable feature of large firms
D) sarcastic and mocking toward the executives who resigned

Discussion questions:

1. The piece never calls the executives liars or crooks; it builds the indictment almost entirely from dated facts, named bodies, and KPMG's own words. How does that restraint change the force of the accusation compared with direct name-calling?

2. The writer pivots from a single statistic ($270 million under review) to a scene of board papers on a table and back out to "your money." Why might moving between the large number and the concrete room persuade differently than either one alone?

Writing prompt (Homework or extended in-class, Q3 argument):

The opener turns on a hard claim: that a firm whose entire product is the verification of trust forfeits its standing the moment it is caught using one client's confidences to win another's business, and that the failure is the public's concern, not only the regulator's. Write an essay in which you defend, challenge, or qualify the claim that auditors and similar gatekeeper professions should be held to a higher standard of accountability than ordinary businesses because the public relies on their independence. Use appropriate evidence and reasoning to support your position; you may draw on the opener, on other examples you know, and on your own observation and reading.